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Automotive Industry

Back to the future 2Q:25 – Solid industry backdrop sets up 2Q Autos earnings well

Price Objective Change

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Equity
Global
Autos/Car Manufacturers

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General overview on the state of the industry in 2Q

Entering earnings season, industry data suggest that 2Q shaped up much better than initial concerns. LVP in NAm were largely in line with industry forecasts prior to tariff announcements (~4m units) while sales were up ~3% YoY, most likely because of some demand pull-forward. Despite tariffs, we did not see any major price increases from OEMs, rather just slightly lower incentives, reflecting the lower level of inventory.

Suppliers: Stronger production volumes are a boost

We expect suppliers to report a solid 2Q25. Global LVP was better than initial expectations, particularly in NAm. Suppliers may also benefit from more favorable FX in 2Q. Some company specific dynamics are: ADNT impact from China tariffs is likely to be noticeably lower given the rate reduction, AXL may be impacted by lower production of the key GM platform T1XX (-8% YoY), APTV's AS&UX segment may surprise to the upside given that MBLY released preliminary results pointing to strong sales growth.

Dealers: new and used sales likely robust, upside to GPUs

We expect that robust sales in both the new and used vehicle market should benefit dealers in 2Q25. We don't expect major changes on GPUs from the last few quarters but acknowledge that richer sales mix may push GPUs temporarily higher. In addition, comps for the group are relatively easier due to last year's disruptions caused by the CDK outage. Our attention will be on demand strength, potential price increases with the introduction of MY26 vehicles, and potential shortages with some specific brands.

RIVN & LCID: Spotlight is on demand post IRA phaseout

LCID and RIVN deliveries came in below our expectations (-6% and -3% respectively), despite solid auto sales in 2Q. This is not an encouraging sign. We believe investors' eyes will be on demand commentary post IRA incentives phase-out. More positively, both companies announced recent capital injections: RIVN received $1bn from VW at the end of 2Q, while LCID could receive $300m from Uber.

PO changes: LEA, VC, and GPI

We are raising VC PO to $130 from $110 and LEA to $135 from $115 since we are moving our valuation year to 2026 EBITDA from 2025 EBITDA. We are lowering our PO for GPI slightly to $560 from $565 to reflect trimmed 2026 EPS estimates.

2H25 outlook is mixed with many question marks for 4Q

The outlook for 2H25 is mixed with significant uncertainty for 4Q. After the sales spike in March and April, volumes have normalized. This indicates that the demand pull forward is likely behind us. As pricing remains largely unchanged, we don't see any significant demand deterioration, but we deem plausible that the introduction of MY26 could bring higher prices, impacting sales negatively in 4Q. LVP estimates for 3Q are now back at around January levels (3.78m units). Industry production ests. continue to forecast a -7% YoY in 4Q, which suggest that the tariff impact is expected to bite in 4Q.

See inside for explanation of PO and estimate changes.

Exhibit 1: 2Q:25 PO changes

PO changes across autos coverage

	Company	Rating	Prior PO	New PO
Suppliers				
LEA	Lear	Buy	$115	$135
VC	Visteon	Buy	$110	$130
Dealers				
GPI	Group 1 Auto	Buy	$565	$560

Source: BofA Global Research estimates
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Recently published research:

GM 2Q25 earnings recap

US-Japan trade deal: Not all that glitters is gold

GM results beat but guidance implies softer 2H – 2Q25 quick take

Tesla, GM, Ford: 2Q25 Preview

LCID partners with Uber and Nuro for robotaxi service

MBLY's announced 2Q preliminary results above expectations

See Glossary on p. 8

Global production forecasts drift higher

2Q production expectations increased 190bp since March

S&P Global estimates call for global production up 2.6% YoY in 2Q:25. This is a positive revision from its initial estimates in March calling for production up 0.7% YoY entering the quarter. Of the major regions, China production is expected to grow the most at +9.0% YoY. The other major regions are expected to decline with Europe at -1.7% YoY and North America at -3.0% YoY. Japan/Korea is expected to be largely flat YoY.

Exhibit 2: Progression of S&P/IHS forecasts for 2Q:25: Global LV production by region

Since March '25, S&P/IHS' 2Q:25 global production forecast increased (190bp), driven by upward revisions for Japan/Korea (+340bp), North America (+290bp), South Asia (+220bp), China (+170bp), and Europe (+170bp). South America (-240bp) and Middle East/Africa (-550bp) were partial offsets.

	2Q:24	IHS 2Q:25 Forecast				
	Actual	Mar-25	Apr-25	May-25	Jun-25	Jul-25
Europe	4,487,895	4,334,303	4,294,260	4,288,387	4,325,564	4,411,102
YoY% Change		*-3.4%*	*-4.3%*	*-4.4%*	*-3.6%*	*-1.7%*
Greater China	6,992,042	7,499,295	7,308,335	7,301,135	7,589,735	7,620,970
YoY% Change		*7.3%*	*4.5%*	*4.4%*	*8.5%*	*9.0%*
Japan/Korea	3,017,359	2,916,498	2,914,769	2,876,621	2,969,969	3,018,810
YoY% Change		*-3.3%*	*-3.4%*	*-4.7%*	*-1.6%*	*0.0%*
Middle East/Africa	552,815	542,221	531,103	529,638	526,696	511,736
YoY% Change		*-1.9%*	*-3.9%*	*-4.2%*	*-4.7%*	*-7.4%*
North America	4,099,581	3,857,182	3,671,074	3,807,817	3,933,175	3,976,375
YoY% Change		*-5.9%*	*-10.5%*	*-7.1%*	*-4.1%*	*-3.0%*
South America	690,246	768,953	748,784	769,395	761,469	752,370
YoY% Change		*11.4%*	*8.5%*	*11.5%*	*10.3%*	*9.0%*
South Asia	2,269,117	2,343,014	2,337,528	2,325,523	2,403,564	2,392,697
YoY% Change		*3.3%*	*3.0%*	*2.5%*	*5.9%*	*5.4%*
Global	**22,109,055**	**22,261,466**	**21,805,853**	**21,898,516**	**22,510,172**	**22,684,060**
YoY% Change		*0.7%*	*-1.4%*	*-1.0%*	*1.8%*	*2.6%*

Source: S&P Global, BofA Global Research; Note: Red shading indicates forecast of mix deteriorated over the measurement period; green shading indicates forecast of mix improved

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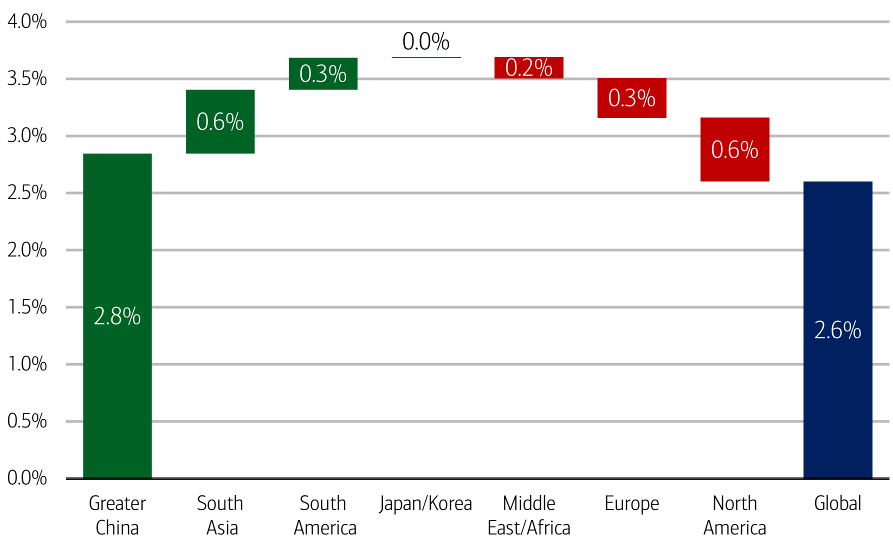
Exhibit 3: S&P/IHS forecast for 2Q:25 contribution to global LV production growth by region

2Q25 global volumes are expected to increase 2.6% YoY, driven by China, South Asia, and South America.



Source: S&P Global, BofA Global Research

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Global BEV shift continues but estimates reduced significantly in NA and Europe

Globally, BEVs continue to gain share of the overall production mix. China leads the pack in terms of total BEV production volume, which is expected to grow 37.3% YoY in 2Q25. Europe (+34.0% YoY) is also expected to grow significantly. Meanwhile, North America is expected to register a large decline (-13.0% YoY).

Exhibit 4: Progression of S&P forecasts of 2Q:25 powertrain mix (BEV vs Others) for major regions

Powertrain mix globally is expected to continue to shift towards battery electric vehicles (BEV) on a YoY basis. However, S&P production expectations for BEVs in North America and Europe for 2Q25 have declined -30.3% and -11.4% respectively from January to May. The forecast for BEV production in China was flat in the same timeframe.

	2Q:24	IHS 2Q:25 Forecast				
	Actual	Jan-25	Feb-25	Mar-25	Apr-25	May-25
Europe - BEV	431,105	652,157	642,611	624,880	589,889	577,872
Europe - Other	4,056,790	3,667,598	3,683,588	3,709,423	3,704,371	3,710,515
% of BEV	*9.6%*	*15.1%*	*14.9%*	*14.4%*	*13.7%*	*13.5%*
% of Other	*90.4%*	*84.9%*	*85.1%*	*85.6%*	*86.3%*	*86.5%*
North America - BEV	309,963	386,640	383,528	348,548	289,833	269,639
North America - Other	3,789,618	3,576,173	3,573,159	3,508,634	3,381,241	3,538,178
% of BEV	*7.6%*	*9.8%*	*9.7%*	*9.0%*	*7.9%*	*7.1%*
% of Other	*92.4%*	*90.2%*	*90.3%*	*91.0%*	*92.1%*	*92.9%*
Greater China - BEV	1,685,099	2,313,426	2,291,302	2,351,972	2,306,067	2,312,850
Greater China - Other	5,306,943	5,311,765	5,369,189	5,147,323	5,002,268	4,988,285
% of BEV	*24.1%*	*30.3%*	*29.9%*	*31.4%*	*31.6%*	*31.7%*
% of Other	*75.9%*	*69.7%*	*70.1%*	*68.6%*	*68.4%*	*68.3%*
Global BEV	**2,619,173**	**3,680,365**	**3,630,558**	**3,627,801**	**3,467,074**	**3,408,239**
Global Other	**19,522,927**	**18,847,908**	**18,943,313**	**18,633,665**	**18,338,779**	**18,490,277**
% of BEV	*11.8%*	*16.3%*	*16.1%*	*16.3%*	*15.9%*	*15.6%*
% of Other	*88.2%*	*83.7%*	*83.9%*	*83.7%*	*84.1%*	*84.4%*

Source: S&P Global

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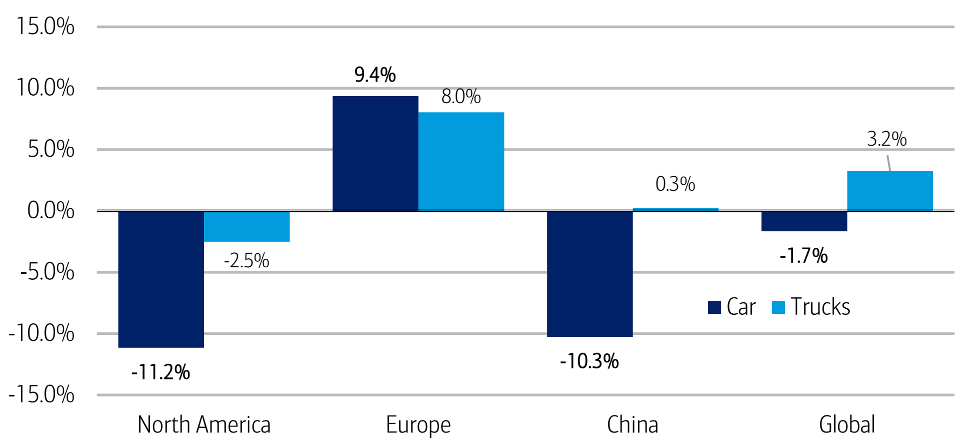
Shifts toward light trucks continues globally

The global shift towards light trucks continued in 2Q25. In North America, the YoY decline of car production was steep at -11%, which moved the mix of light trucks to ~83% of the market. China also saw a large decline in car production at -10% YoY, moving the mix of light trucks to ~66% of the market. Car production in Europe outpaced light trucks, reducing light truck mix to ~61% of the market.

Exhibit 5: 2Q:25 YoY production growth by segment in major regions

As of June 2025, S&P projections indicate that light truck production increased 3.2% YoY globally.



Source: S&P Global

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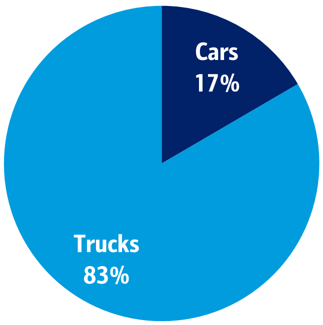
Exhibit 6: NA Production Mix 2Q25
83% of production in North America is trucks



Source: S&P Global

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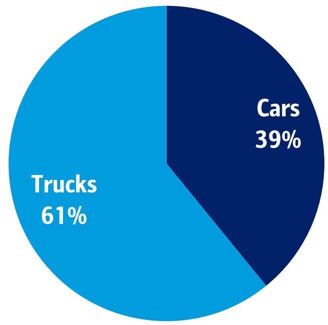
Exhibit 7: Europe Production Mix 2Q25
61% of production in Europe is trucks



Source: S&P Global

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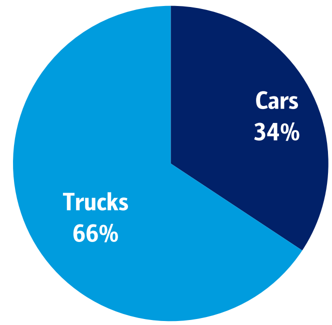
Exhibit 8: China Production Mix 2Q25
66% of production in China is trucks



Source: S&P Global

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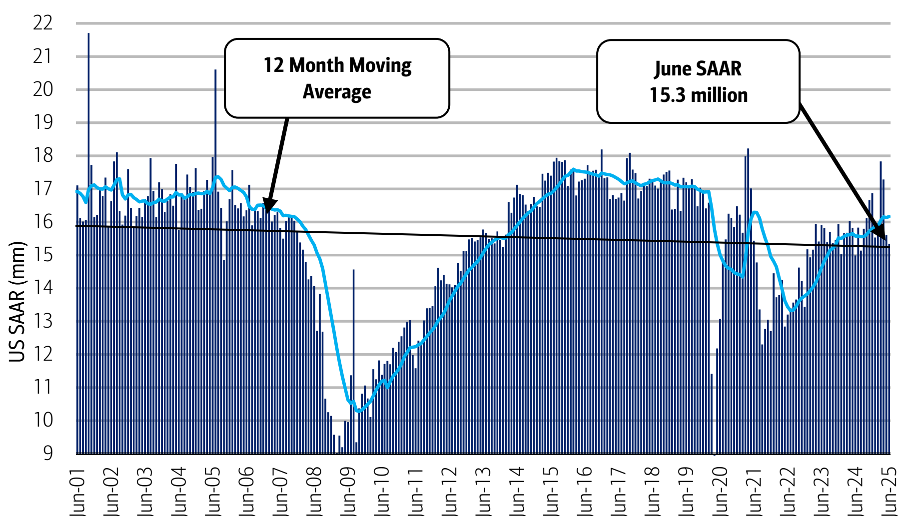
US Sales +3.0% in 2Q25

Sales in 2Q25 increased 3.0% YoY on selling day adjusted basis. Sales were boosted by a surge in April (17.3mm SAAR) driven by pre-buying ahead of the announced 25% tariffs on non-US made autos. May and June sales slowed to the mid 15mm range after much of the pull forward in demand was exhausted, and OEMs began to slow incentive spend.

Exhibit 9: US Seasonally Adjusted Annualized Rate (SAAR)
US LV sales increased 3.0% YoY in 2Q:25 on a SD adjusted basis for a SAAR of 16.1mm, vs. 15.6mm in 2Q:24. This was largely driven by a surge in April sales ahead of tariffs, followed by slowdowns in May/June.



Source: WardsAuto InfoBank

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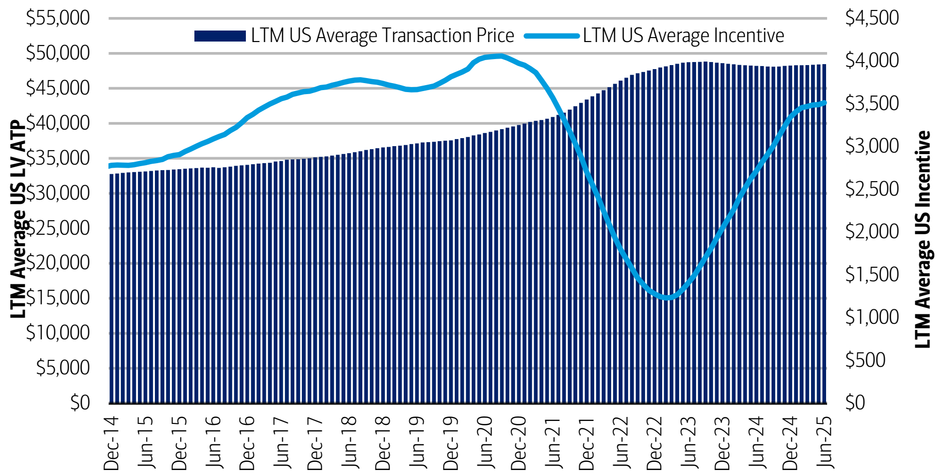
Used prices strong; New prices up slightly

Used vehicle prices were strong in 2Q:25, up +5% YoY and +2% sequentially. New vehicle prices were up in 2Q:25 increasing +1.1% YoY and were +1.9% QoQ. Incentives have been moderating since tariffs were announced. 2Q:25 industry average OEM incentives increased 6% vs. 2Q:24 but were down 2% sequentially.

Exhibit 10: US light vehicle average incentives and average transaction prices

US average transaction prices increased +1.1% YoY in 2Q:25 and +1.8% QoQ. Incentives increased +6% YoY and were -2% sequentially.



Source: Kelley Blue Book (average transaction prices, or ATPs, do not include applied incentives), AutoData

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Electric vehicle ATPs were largely flat in 2Q:25, decreasing -0.5% on a YoY basis and increasing +0.7% sequentially. Electric vehicle prices remain above the industry average (~$49k industry average vs. ~$58k EV average in 2Q:25).

Exhibit 11: June US incentive and ATP trends – major automakers

Industry average incentive was up +8.6% YoY in June, while the average transaction price was up +1.2% YoY

AutoData/KBB	Average Incentive					Average Transaction Price				
	Jun-25	May-25	MoM % Chg	Jun-24	YoY % Chg	Jun-25	May-25	MoM % Chg	Jun-24	YoY % Chg
GM	$3,532	$3,274	7.9%	$3,291	7.3%	$54,909	$54,051	1.6%	$51,137	7.4%
Ford	$3,701	$3,642	1.6%	$3,892	-4.9%	$55,026	$55,062	-0.1%	$56,087	-1.9%
Stellantis	$4,842	$4,851	-0.2%	$3,379	43.3%	$53,599	$53,715	-0.2%	$56,560	-5.2%
Toyota	$1,863	$1,888	-1.3%	$1,637	13.8%	$44,955	$45,002	-0.1%	$44,246	1.6%
Honda	$2,870	$2,641	8.7%	$2,463	16.5%	$39,165	$38,644	1.3%	$37,855	3.5%
Nissan	$4,027	$4,403	-8.5%	$3,967	1.5%	$35,707	$36,578	-2.4%	$35,126	1.7%
Hyundai	$2,797	$2,876	-2.7%	$2,692	3.9%	$37,497	$37,200	0.8%	$37,540	-0.1%
BMW	$5,035	$5,677	-11.3%	$5,639	-10.7%	$70,218	$70,278	-0.1%	$69,918	0.4%
Mercedes-Benz	$5,085	$5,094	-0.2%	$4,356	16.7%	$78,249	$78,085	0.2%	$76,892	1.8%
Volkswagen	$3,315	$3,444	-3.7%	$5,481	-39.5%	$58,707	$60,713	-3.3%	$53,697	9.3%
Tesla	$6,515	$6,356	2.5%	$1,646	295.8%	$54,989	$55,276	-0.5%	$58,342	-5.7%
Industry	**$3,395**	**$3,296**	**3.0%**	**$3,127**	**8.6%**	**$48,907**	**$48,717**	**0.4%**	**$48,338**	**1.2%**

Source: Kelley Blue Book (ATPs do not include applied incentives), AutoData.

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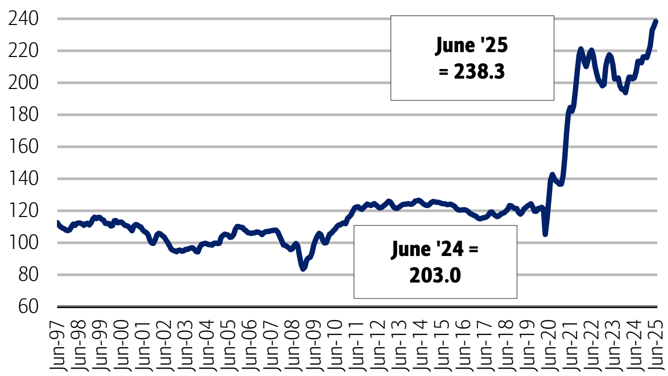
Exhibit 12: NADA Used Vehicle Price Index
NADA Used Vehicle Price Index was up 16.0% YoY in 2Q:25 and increased 7.3% on a QoQ basis.



Source: NADA

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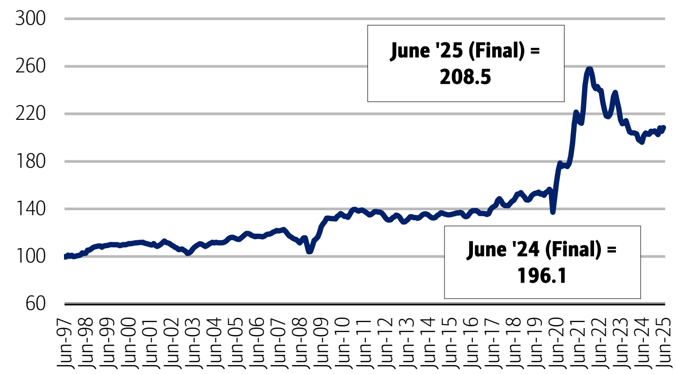
Exhibit 13: Manheim Used Vehicle Value Index
Manheim Used Vehicle Value Index was up 5.1% YoY in 2Q:25 and up 1.6% sequentially.



Source: Manheim

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Estimates and POs revisions

We are raising VC PO to $130 from $110 and LEA to $135 from $115 since we are moving our valuation to 2026 EBITDA from 2025 EBITDA. We are lowering our GPI's PO to reflect lower 2026 EPS estimates.

Exhibit 14: Price objective changes
In the table below we outline changes to price objectives for selected companies under coverage

Ticker	Market Price	Q-R-Q	Rating	Potential Upside / Downside	Prior PO	Updated PO	% change	Valuation Metric
OEMs								
LCID	$3.10	C-3-9	U/P	-68%	$1.00	**$1.00**	-	2x EV/Sales on CY2026E
RIVN	$13.92	C-3-9	U/P	-28%	$10	**$10**	-	2x EV/Sales on CY2026E
Suppliers								
ADNT	$23.02	C-3-9	U/P	-24%	$17.5	**$17.5**	-	3.5x EV/EBITDA on FY2026E
APTV	$72.22	C-1-9	Buy	18%	$85	**$85**	-	5.5x EV/EBITDA on CY2026E
AXL	$4.86	C-3-9	U/P	-7%	$4.50	**$4.50**	-	3.5x EV/EBITDA on FY2026E
BWA	$36.25	B-1-7	Buy	13%	$41	**$41**	-	4.5x EV/EBITDA on CY2026E
LEA	$108.37	B-1-7	Buy	25%	$115	**$135**	17%	4.5x EV/EBITDA on CY2026E
MBLY	$15.77	C-2-9	Neutral	14%	$18	**$18**	-	7.5x EV/Sales on CY2025E
PHIN	$48.40	C-1-7	Buy	14%	$55	**$55**	-	7.0x EV/EBITDA on CY2025E
VC	$112.00	B-1-9	Buy	16%	$110	**$130**	18%	6x EV/EBITDA on CY2026E
Dealers								
ABG	$237.44	B-1-9	Buy	41%	$335	**$335**	-	12x P/E on CY2026E
AN	$204.93	B-1-9	Buy	24%	$255	**$255**	-	12x P/E on CY2026E
GPI	$414.92	B-1-7	Buy	35%	$565	**$560**	-1%	12x P/E on CY2026E
LAD	$319.08	C-1-7	Buy	57%	$500	**$500**	-	12x P/E on CY2026E

Source: BofA Global Research estimates, Bloomberg as of 7/23/25

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Exhibit 15: BofA 2025 Quarterly estimate revisions

In the table below we outline changes to our 2025 quarterly estimates for selected companies under our coverage universe

EPS	2Q25			3Q25			4Q25		
Ticker	**Old**	**New**	**Change**	**Old**	**New**	**Change**	**Old**	**New**	**Change**
OEMs									
LCID	(0.19)	(0.18)	nm	(0.21)	(0.17)	nm	(0.18)	(0.12)	nm
RIVN	(0.65)	(0.57)	nm	(0.75)	(0.71)	nm	(0.68)	(0.58)	nm
Suppliers									
ADNT	-	-	-	0.51	0.48	-5.9%	0.54	0.53	-1.9%
APTV	2.04	1.89	-7.4%	2.10	1.93	-8.1%	2.25	2.02	-10.2%
AXL	0.16	0.12	-25.0%	0.18	0.10	-44.4%	0.17	0.02	-88.2%
BWA	1.22	1.16	-4.9%	1.24	1.14	-8.1%	1.24	1.17	-5.6%
PHIN	1.09	1.09	0.0%	1.23	1.22	-0.6%	1.20	1.22	2.0%
LEA	3.30	3.30	0.0%	3.15	3.15	0.0%	3.35	3.35	0.0%
MBLY	0.11	0.11	0.0%	0.06	0.06	0.0%	0.12	0.12	0.0%
VC	2.14	2.75	28.5%	2.29	2.35	2.6%	2.33	2.29	-1.7%
Dealers									
ABG	6.60	6.88	4.2%	6.90	6.90	0.0%	7.20	6.75	-6.3%
AN	4.85	4.85	0.0%	4.86	4.80	-1.2%	4.88	4.88	0.0%
GPI	10.90	10.75	-1.4%	11.45	11.36	-0.8%	10.61	10.40	-2.0%
LAD	9.00	9.68	7.6%	9.68	9.29	-4.0%	9.15	8.80	-3.8%

Source: BofA Global Research estimates

Note: ADNT FY3Q25 = CY2Q25

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Exhibit 16: BofA estimate revisions – 2025 – 2026 annual estimates

In the table below we outline changes to annual estimates for selected companies under our coverage universe

EPS	2025			2026		
Ticker	**Old**	**New**	**Change**	**Old**	**New**	**Change**
OEMs						
LCID	(0.71)	(0.59)	nm	(0.55)	(0.61)	nm
RIVN	(2.50)	(2.28)	nm	(2.10)	(2.12)	nm
Suppliers						
ADNT	2.00	1.90	-5.0%	2.75	2.51	-8.7%
APTV	7.49	7.53	0.5%	8.70	8.31	-4.5%
AXL	0.45	0.32	-28.9%	0.66	0.64	-3.0%
BWA	4.45	4.37	-1.8%	4.82	4.73	-1.9%
PHIN	4.48	4.49	0.3%	5.71	5.80	1.6%
LEA	12.90	12.90	0.0%	16.80	16.80	0.0%
MBLY	0.30	0.30	0.0%	0.33	0.33	0.0%
VC	8.50	9.79	15.2%	9.40	10.41	10.7%
Dealers						
ABG	27.52	27.35	-0.6%	28.00	27.92	-0.3%
AN	19.35	19.20	-0.8%	21.30	21.30	0.0%
GPI	43.75	43.30	-1.0%	46.90	46.70	-0.4%
LAD	35.45	35.41	-0.1%	42.15	41.70	-1.1%

Source: BofA Global Research estimates

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Glossary

ATP = Average Transaction Price

AS&UX = Active Safety & User Experience

BEV = Battery Electric Vehicle

EV = Electric vehicle

F&I = Finance and Insurance

FSD = Full Self-Driving

GPU = Gross Profit Per Unit

LVP = Light vehicle production

NA = North America

OEM = Original Equipment Manufacturer

P&S = Parts and Service

IRA = Inflation Reduction Act

MY26 = Model Year 2026

VW = Volkswagen

CDK = CDK Global

Price objective basis & risk

Adient Plc (ADNT)

Our price objective of $17.50 for ADNT is based on an EV/EBITDA multiple of 3.5x on our FY2026 estimates, at the lower end of the historical range. The company is currently experiencing pressures on production volumes, which are partially mitigated with cost cutting actions. However, challenging market environment in Europe and China, combined with the risk of contract extensions that could prolong the unprofitable metal contracts, weigh on stock valuation.

Upside risks: 1) ADNT successfully wins more profitable business, expands its backlog and reaccelerates its top line growth, 2) better than expected operating leverage from growth in global auto production, 3) significant progress made on restructuring programs and cost rationalization actions, 4) material market share gains in China market, 5) wind-down of non-recurring items boosts ongoing cash flow power.

Downside risks: 1) inability to win sufficient and profitable new business, expand the backlog, and reaccelerate top line growth, 2) inability to complete restructuring programs or cost rationalization initiatives, 3) decline in new vehicle production, 4) inability to consistently execute, 5) raw material cost inflation, 6) inability to handle OEM price downs, 7) failure to maintain a lean cost structure, 8) new program/platform launch risk.

American Axle (AXL)

Our price objective of $4.50 is based on an EV/EBITDA multiple of roughly 3.5x on our 2026 estimates, which is lower than the historical average of roughly 4.5x, but in range of recent trading ranges and reflective of the forthcoming US/NA and Global production volume recovery.

Upside risks: 1) Continued strength in large truck volume growth, 2) resolution of plant issues, 3) labor cost inflation doesn't materialize

Downside risks: 1) a slowdown in large truck volume growth, particularly at key customers, 2) failure to diversify its customer base, geographic, and product exposure, 3) expansion into new segments could significantly reduce operating margins, 4) continued sharp rise in raw material and labor costs, 5) loss of business at key customers, and 6) disruption at AXL's suppliers.

Aptiv PLC (APTV)
Our PO of $85 for APTV is based on an EV/EBITDA multiple of roughly 5.5x on our 2026 estimates. Our assumed valuation metrics are in line with the average historical trading multiple, but above current levels for the traditional automotive suppliers, which trade in ranges of 3x to 6x. We believe a valuation premium to the group is warranted, as APTV is more of a pure-play electrification / autonomy / connectivity / mobility-centric company, unencumbered by factor risks from other non-future tech businesses/products. However, we see the stock trading in line with its historical average given the hurdles on the semiconductor supply front, which are not completely resolved yet.

Downside risks: 1) sustained volatility in international markets, 2) a longer than expected decline or flatline in US/global automotive volumes, 3) a continued rise in raw material costs and semiconductors disruptions, 4) loss of key customers or suppliers, 5) inability to win new business, 6) competitive pricing pressure.

Upside risks: 1) strength in global auto production volumes, particularly in North America, 2) increased business wins as a result of Safe, Green, Connected portfolio that continue to support growth above market, 3) shareholder-friendly actions, including accretive M&A and share repurchases, support earnings and the stock.

Asbury Auto (ABG)
Our price objective of $335 is based on a P/E multiple of roughly 12x on our 2026 estimates, which is about in line with an average dealer through-cycle multiple. We believe this is appropriate in light of the ongoing recovery in the US/NA automotive cycle following the COVID-induced trough in 2020, which should translate into revenue and earnings growth across the dealer vertical over our forecast period.

Downside risks: 1) a swift and/or material downturn in US sales, 2) market share losses by the brands to which ABG is overexposed, 3) higher interest rate environment causes material demand deterioration and/or repossessions, 4) consumer dissatisfaction with auto retailing, and 5) the potential for franchise law and/or consumer finance law changes.

Upside risks: 1) US/North America cycle recovers and plateaus at a high level of sales, continues growing, or even declines less than expected, 2) ABG is able to gain back and/or maintain some gross profit per unit in its new and used vehicles businesses, 3) used vehicle focus dries demand, top line and earnings growth beyond the peak in new vehicle sales, and 4) interest rates decline quicker than expected, stimulating demand.

AutoNation, Inc. (AN)
Our price objective of $255 is based on a P/E multiple of roughly 12x on our 2026 estimates, which is about in-line with an average dealer through-cycle multiple. We believe this is appropriate in light of the ongoing recovery in the US/NA automotive cycle following the COVID-induced trough in 2020, which should translate into revenue and earnings growth across the dealer vertical over our forecast period.

Downside risks: 1) a swift and/or material downturn in US sales, 2) poorer-than-expected cost performance and margin compression, 3) a stoppage in share repurchase activity or material sell-off by key shareholders, 4) higher interest rate environment causes material demand deterioration and/or repossessions 5) consumer dissatisfaction with auto retailing, and 6) the potential for franchise law and/or consumer finance law changes.

Upside risks: 1) US/NA cycle recovers and plateaus at a high level of sales, continues growing, or even declines less than expected, 2) AN is able to gain or even just maintain gross profit per unit in its new and used vehicles businesses, 3) standalone used vehicle stores capture some demand and drives top line and earnings growth beyond the peak in new vehicle sales, and 4) interest rates decline quicker than expected, stimulating demand.

BorgWarner (BWA)
Our price objective of $41 is based on an EV/EBITDA multiple of roughly 4.5x on our 2026 estimates, which we believe reflects the higher growth trajectory on which the company positioned itself after the spin-off of the Fuel Systems and Aftermarket segments in July 2023.

Downside risks: 1) relaxed fuel-efficiency regulations, 2) increased competition in the turbocharger industry, 3) a longer than expected decline or flatline in US/global automotive volumes, 4) a continued rise in raw material costs, 5) slower electric vehicle adoption.

Upside risks: 1) strength in global auto production volumes, particularly in North America, 2) faster adoption of electric and hybrid vehicles, 3) BWA regains lost investor confidence through continued execution and performance.

Group 1 Auto (GPI)
Our price objective of $560 is based on a P/E multiple of roughly 12x on our 2026 estimates, which is about in line with an average dealer through-cycle multiple. We believe this is appropriate in light of the ongoing recovery in the US/NA automotive cycle following the COVID-induced trough in 2020, which should translate into revenue and earnings growth across the dealer vertical over our forecast period.

Downside risks: 1) weaker demand than expected in the US, and/or UK, 2) the loss of key management, 3) the possibility that GPI is unable to achieve the operating leverage we forecast, 4) higher interest rate environment causes material demand deterioration and/or repossessions, 5) consumer dissatisfaction with auto retailing, and 6) the potential for franchise law and/or consumer finance law changes.

Upside risks: 1) US/NA cycle recovers and plateaus at a high level of sales, continues growing, or even declines less than expected, 2) GPI is able to gain back some gross profit per unit in its new and used vehicles businesses, 3) growth in international markets helps to offset weakness in the US market, and 4) interest rates decline quicker than expected, stimulating demand.

Lear Corp. (LEA)
Our $135 price objective on LEA shares is based on an EV/EBITDA multiple of roughly 4.5x on our 2026 estimates. This multiple is a slight premium to the company's historical average since we believe adjustment to a lower volume environment and the company's vertical integration will bolster already strong cash flow that is being returned to shareholders through dividends and growing share buybacks.

Downside risks: 1) a slower or further decline in US/global automotive volume growth, 2) disruption from the re-emergence in the Seating market of LEA's largest competitor (ADNT), 3) increased pricing pressure from OEM customers, 4) loss of business at key customers, 5) fierce competition in the automotive supply base, 6) a new rise in raw material costs, 7) execution risk of restructuring, operations, and acquisitions.

Upside risks: 1) faster recovery than expected in global auto production volumes, 2) continued execution and progress on margin expansion, 3) shareholder-friendly actions including accretive M&A and share repurchases support earnings and the stock.

Lithia Motors A (LAD)
Our price objective of $500 is based on a P/E multiple of roughly 12x on our 2026 estimates, which is a slight premium to an average dealer through-cycle multiple. We believe this is appropriate in light of the company's track record of strong earnings and recent strong execution of M&A growth actions.

Downside risks: 1) a swift and/or material downturn in US sales, 2) slower improvement in operating leverage than forecast, 3) substantial market share loss by domestic brands, to which LAD is exposed, 4) higher interest rate environment causes material demand deterioration and/or repossessions, 5) consumer dissatisfaction with auto retailing, and 6) the potential for franchise law and/or consumer finance law changes.

Upside risks: 1) acquisition activity above current forecasts, 2) continued recovery in US auto sales beyond current estimates, 2) LAD is able to gain back/maintain some gross profit per unit in its new and used vehicles businesses, and 3) interest rates decline quicker than expected, stimulating demand.

Lucid Group (LCID)
Our price objective of $1.00 is based on 2.0x EV/Sales on our 2026 estimates. Our valuation framework for LCID is relatively consistent with its peer.

Downside risks: 1) inability to continue to raise capital to fund business ventures, 2) inability to convert refundable reservations into contracted orders, unit sales, and revenue, 3) greenfield/clean-sheet approach to EV manufacturing introduces risk of successful execution, 4) direct-to-consumer sales and service model may create challenges for business to scale, 5) inability to reach sustainable positive EBITDA/FCF.

Upside risks: 1) significant and better than expected customer traction for introduced/unveiled products, 2) successful execution of go-to-market strategy, 3) better than expected progress on start and ramp of production with clean-sheet manufacturing approach, 4) breakthrough in advanced battery technology to drive ICE/EV parity, 5) incremental government/regulatory support/stimulus for EV market.

Mobileye (MBLY)
Our PO of $18 is based on 7.5x EV/Sales (2025E Sales), which is in line with the average of its peers (AMD, Infineon, Nvidia, NXP Semiconductors, Qualcomm, TE Connectivity, Texas Instruments). The current valuation reflects the renovated interest in autonomous driving vehicles (AVs) and the latest developments in terms of AV rollout.

Downside risks: 1) Market penetration of Level 2+ ADAS may take longer than expected and pathway/timing of Level 4+ autonomous vehicle (AV) capabilities is unclear, 2) Inability to maintain technological leadership over competition, 3) Standardization of ADAS/AV technology could make it challenging to maintain gross and operating margins, 4) Macro/market volatility could impact demand and product launches, 5) Export control limitations on key semiconductor technology, tariffs on its products, or other government actions, 6) Lack of liquidity in the stock and/or future stock sales.

Upside risks: 1) Mega-trend towards ADAS & autonomy, 2) Timing and go-to-market strategy of MBLY's Level 4+ offerings could exceed expectations, 3) MBLY may be more successful in winning new customers/contracts, 4) Barriers to entry could prove more formidable, 5) Industry consolidation in ADAS/AV, 6) Better operating performance and/or changes to strategy.

Phinia Inc. (PHIN)

Our $55 price objective on PHINIA is based on an EV/EBITDA of 7.0x on our 2025 estimates. Our valuation multiple is at a premium relative to the automotive supplier group, which trades at 4.5x, given the exposure to Aftermarket, which accounts for 40% or sales and 50% or operating profits.

Downside risks: 1) Electrification reaccelerates, 2) the market fails to give a premium to aftermarket exposure, 3) tariffs severely impact auto production, 4) General Motors loses market share

Upside risks: 1) Battery electric vehicle decelerates more than expected, 2) diversification into commercial and aftermarket happens faster, 3) auto production cycle picks up, 4) competitors exit the market sooner

Rivian Automotive (RIVN)

Our price objective of $10, based on 2x EV/Sales on our 2026 estimates. Our valuation framework for RIVN is relatively consistent with its peer.

Downside risks: 1) inability to continue to raise low cost capital to fund business ventures, 2) inability to convert pre-orders and orders into unit sales, revenue, and eventually earnings, 3) termination of or amendment to sales and service agreement with anchor customer, 4) direct-to-consumer sales and service model may create challenges for business to scale, 5) inability to reach sustainable positive EBITDA/FCF with investment across numerous business areas.

Upside risks: 1) significant and better than expected customer traction for introduced/unveiled products, 2) successful execution of go-to-market strategy via direct-to-consumer sales and service model, 3) better than expected progress ramp of production and successful build-out of incremental capacity, 4) breakthrough in advanced battery technology to drive ICE/EV parity, 5) incremental government/regulatory support/stimulus for EV market.

Visteon (VC)

Our PO of $130 is based on an EV/EBITDA multiple of 6x on our 2026 estimates. Our assumed multiple is a premium to the current trading multiple of 5x for the suppliers in our coverage and our average assumed multiple of 8x underlying our POs, given VC's growth-over-market is above most suppliers and in consideration of its exposure to key mega-trends.

Downside risks: 1) intense competition that is likely to heat up further as suppliers aggressively position their product portfolio to benefit from high growth markets, 2) inability to maintain a technological edge amidst the rapidly evolving auto sector, 3) inability to win new business across its product lines, or gain higher content per vehicle on new business wins, 4) Inability to drive growth-over-market and margin expansion as expected, 5) UAW strike a near-term risk to volumes and earnings.

Upside risks: 1) Stronger-than-expected recovery in automotive sales/production, 2) higher-than-expected content per vehicle across newer product areas, 3) market share gains with new product launches, 4) successfully achieve 2026 growth and margin targets, 5) shareholder-friendly actions, such as M&A and share repurchases.

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US - Automotives Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Aptiv PLC	APTV	APTV US	Federico Merendi
	Asbury Auto	ABG	ABG US	Federico Merendi
	AutoNation, Inc.	AN	AN US	Federico Merendi
	Avis Budget Group	CAR	CAR US	Federico Merendi
	BorgWarner	BWA	BWA US	Federico Merendi
	Ford Motor	F	F US	Federico Merendi
	General Motors Company	GM	GM US	Federico Merendi
	Group 1 Auto	GPI	GPI US	Federico Merendi
	Lear Corp.	LEA	LEA US	Federico Merendi
	Lithia Motors A	LAD	LAD US	Federico Merendi
	Phinia Inc.	PHIN	PHIN US	Federico Merendi
	Visteon	VC	VC US	Federico Merendi
NEUTRAL				
	Mobileye	MBLY	MBLY US	Federico Merendi
	OPENLANE	KAR	KAR US	Michael McGovern
	Polestar	PSNY	PSNY US	Federico Merendi
	Tesla Motors	TSLA	TSLA US	Federico Merendi
UNDERPERFORM				
	Adient Plc	ADNT	ADNT US	Federico Merendi
	American Axle	AXL	AXL US	Federico Merendi
	CarMax, Inc.	KMX	KMX US	Michael McGovern
	Hertz Global Holdings	HTZ	HTZ US	Federico Merendi
	Lucid Group	LCID	LCID US	Federico Merendi
	Rivian Automotive	RIVN	RIVN US	Federico Merendi

Disclosures

Important Disclosures

Equity Investment Rating Distribution: Autos Group (as of 30 Jun 2025)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	62	49.60%	Buy	33	53.23%
Hold	33	26.40%	Hold	16	48.48%
Sell	30	24.00%	Sell	18	60.00%

Equity Investment Rating Distribution: Distributors Group (as of 30 Jun 2025)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	6	85.71%	Buy	5	83.33%
Hold	0	0.00%	Hold	0	0.00%
Sell	1	14.29%	Sell	0	0.00%

Equity Investment Rating Distribution: Global Group (as of 30 Jun 2025)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	1840	53.64%	Buy	1081	58.75%
Hold	807	23.53%	Hold	472	58.49%
Sell	783	22.83%	Sell	375	47.89%

[R1] Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster[R2]
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

[R2]Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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